

**Cash Flow from
Operations**

**Cash Flow
from Investing**

**Excess cash left after meeting the investment needs of
the business is called Free Cash Flow.**

**Cash-producing industries and
firms can generate ample free
cash flows.**

→ They do not require much
cash investment.



**Cash-seeking industries
may even produce a
negative free cash flow.**

They are structurally such that
they have regular cash flow
requirements.



Free cash flow as a percentage of revenue must be used to compare the cash-producing abilities of firms across industries, relative to their size.



Free Cash Flow

as a % of revenue



**Cash Producing
Ability**

